ARIZONA DEPARTMENT OF HEALTH SERVICES

LICENSING

March 4, 2026

Verde Americano, LLC
ATTN: Joseph Strauss
24882 W Klondyke Rd.
Pima, AZ 85543

RE: INSP-0163984

Dear Mr. Strauss:

The purpose of this letter is to inform you that during a recent compliance inspection (INSP-0163984) conducted on November 26, 2025, by the Arizona Department of Health Services, the Department cited violations in one or more areas that present as substantial noncompliance during the initial monitoring inspection.

The Statement of Deficiencies ("SOD"), sent on December 19, 2025, describes the violations cited. Because the case has been referred to the Enforcement Team, and the Informal Dispute Resolution ("IDR") period has passed or the IDR has been reviewed and the citations were upheld, the Department is requesting $1,000.00 in Civil Money Penalties ("CMP"), along with a written plan of correction for the violations.

Please review, sign, and return the enclosed Civil Money Penalty ("CMP") agreement forms to the Department by March 6, 2026.

Once the forms are completed, returned, and signed by the Department, the Department will open an Enforcement and an Invoice in the Facility Licensing Portal. Both the CMP and Plan of Corrections must be submitted through the portal within thirty (30) calendar days of the Effective Date. To submit a Plan of Correction, please see pages 105-107 of the PO/BM Handbook.

If you have any questions, please call our office at (602) 364-0857.

Sincerely,

Jason Swank
Deputy Bureau Chief
Bureau of Marijuana Licensing
Enclosure

ARIZONA DEPARTMENT OF HEALTH SERVICES
PUBLIC HEALTH LICENSING SERVICES
BUREAU OF MARIJUANA LICENSING

ENFORCEMENT MEETING NOTIFICATION OF RIGHTS

Facility Name:	License#	PO/BM:
Verde Americano, LLC	0000144DRCUM87865142	Joseph Strauss

Please initial after each section.

1. I understand that I have the right to reject the proposed resolution and may refuse to sign this Agreement. JS (initials)
2. This Agreement has been reviewed and approved by the Assistant Director. If this Agreement is changed, it will be returned to the Assistant Director for approval. JS (initials)
3. I understand that if I do not enter into an agreement at this time, the Program will refer this matter to Public Health Licensing Services ("Licensing") Enforcement Team and a legal order may be prepared and sent to me. JS (initials)
4. I understand that I have due process rights and can request a hearing before the Office of Administrative Hearings regarding any legal order issued by the Department's Director. JS (initials)

I hereby acknowledge that I have discussed the above statements with the Department and understand my rights with regard thereto.

Licensee: JS Date: 3/4/2026
(Licensee's signature)

ENFORCEMENT MEETING AGREEMENT FORM

Facility Name:	License#	PO/BM:
Verde Americano, LLC	0000144DRCUM87865142	Joseph Strauss

Department concern noted: The Department is requesting $1,000.00 in Civil Money Penalties (CMP). Along with a written plan of correction for the violations.

Agreement:

(initials)__JS__ Licensee agrees to pay civil money penalties in the amount of $1,000.00.

(initials)__JS__ Licensee understands to not be in substantial compliance could result in further enforcement action up to and including denial of the renewal application.

	PLEASE PRINT NAME	SIGNATURE	DATE
Licensee:	Joseph Straus	JS	3/7/2026
Bureau Chief:	Kimberly Crawford	Kim Crawford	3/9/2026
Deputy Assistant Director:	Megan Whitby	Megan Whitby	3/9/2026

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Joseph Strauss
24882 W Klondyke Rd.
Pima, AZ 85543
License # 0000144DRCUM87865142

CIVIL PENALTIES

Statute/Rule	Violations	Penalty Assessment	Penalty Amount
A.R.S. 36-2806(E)	11/26/2025	Unauthorized access to the dispensary's cultivation site.	$1,000.00

Total			$1,000.00

Payments are to be made in the Facility Licensing Portal and shall be made within thirty (30) days from the execution date of the attached Enforcement Agreement unless an alternate payment schedule is arranged. Please review pages 114-118 of the PO/BM Handbook for instructions on how to make payment.